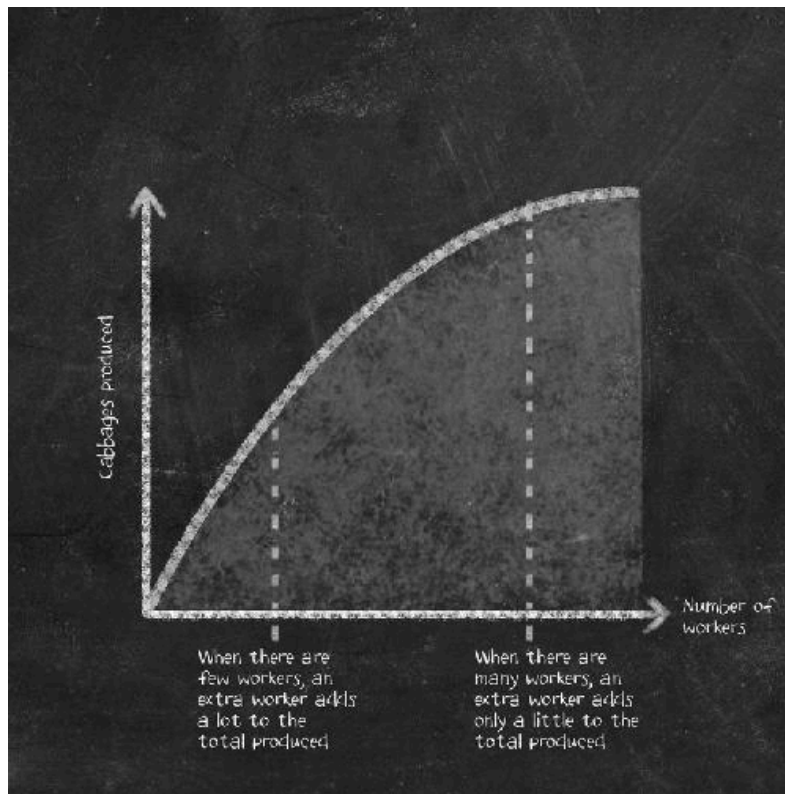


The law of diminishing returns



The law of diminishing returns states that the effect on output of additions of labour or capital falls as one increases these inputs. Consider a farmer employing a single worker on his field. The overworked labourer produces 50 cabbages a season. By adding an extra worker, the farmer may get 150 cabbages from the field. He keeps adding workers until eventually he has 30 workers producing 2,000 cabbages at every harvest.

What would be the effect on output of adding an extra worker to this workforce? Output may well increase, but by much less than the extra 100 cabbages that came from increasing the workforce from one to two workers. By the time there are 30 workers there is so much labour working on the land that the impact of an extra worker is small. There might even be a point at which there are so many workers that they get in the way of each other, so

that hiring an extra worker actually reduces output. Hence, the old saying 'too many cooks spoil the broth'.